

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

ORLEANS INTERNATIONAL, INC., *Complainant*

v.

HAPAG LLOYD AG, *Respondent*.

DOCKET NO. 26-04

Served: May 29, 2026

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

**ORDER DENYING IN PART MOTION TO DISMISS AND ALLOWING COMPLAINANT TO FILE AN
AMENDED COMPLAINT**

On March 16, 2026, Complainant Orleans International, Inc., filed a Verified Complaint (“Complaint”) that names Hapag Lloyd AG as Respondent. In short, Complainant alleges that Respondent imposed unjust and unreasonable demurrage and detention charges, and unreasonably refused to deal or negotiate, during the 2021-2022 time-period in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 (Count I) and 46 U.S.C. § 41104(a)(10) (Count II). Complainant also asserts that 46 U.S.C. § 41104(a)(14) was violated.

On April 27, 2026, Respondent filed Respondent’s Motion to Dismiss (“MTD”). In the MTD, Respondent advances three arguments: 1) Complainant’s claim under Section 41104(a)(10) should be dismissed for failure to allege facts supporting the elements of the claim; 2) the case should be dismissed on statute of limitation grounds; and 3) the Complaint fails to state a claim under Section 41102(c).

On May 12, 2026, Complainant filed Complainant’s Memorandum in Opposition to Respondent’s Motion to Dismiss (“MTD Opp.”). In its opposition, Complainant argues that its claim under Section 41104(a)(10) is sufficiently supported. In addition, Complainant argues that the three-year period in the Shipping Act limits claims for reparations, and is not a true statute of limitations. Complainant also argues that such a defense is premature at this stage in the litigation, and, in any event, Complainant’s claims are all timely. Finally, Complainant argues that its allegations are sufficient to put Respondent on notice of the challenged demurrage and detention charges.

On May 19, 2026, Respondent filed Respondent’s Reply to Complainant’s Memorandum In Opposition to Respondent’s Motion to Dismiss (“Reply”), mostly reiterating its previous arguments.

For the reasons discussed herein, the MTD is **DENIED IN PART** to the extent that it argues that the statute of limitations is applicable. There are portions of the Complaint that are

insufficient or unclear, and accordingly, I will allow Complainant to file an amended complaint. If Complainant files an amended complaint, I will deny the remainder of the MTD as moot.

I. BACKGROUND – ALLEGATIONS IN THE COMPLAINT

Complainant's Complaint makes the following allegations that are relevant to the present MTD.

1. Complainant alleges that it is a United States-based meat importer, and was the shipper on numerous shipments in 2021 and 2022. (Compl., at ¶¶ 2, 12, 23-24, 32).
2. Respondent is allegedly a vessel-operating ocean carrier that imposed demurrage and detention charges on Complainant in 2021 and 2022. (Compl., at ¶¶ 13-14, 23-24, 32).
3. The Complaint alleges that the "issues" that led to the charges began to surface in "mid-2021." (Compl., at ¶ 33).
4. The demurrage and detention charges were allegedly unjust and unreasonable "because of circumstances outside the control of Complainant and its agents and service providers, such as congestion at ports, lack of appointments to pick up or return containers, and shortage of equipment such as chassis." (Compl., at ¶ 27; *see e.g.*, ¶¶ 31, 34-44).
5. The Complaint alleges that offloading operations were suspended at the Port of Philadelphia on September 9, 2021, due to a bunching situation that resulted in demurrage and detention fees for shippers. It further alleges that "[d]espite these failures, carriers refused to provide relief. While partners reached out to industry bodies for assistance, they reported that 'Hapag Lloyd has ignored our request to this point. I don't expect any help.'" (Compl., at ¶ 35).
6. The Complaint alleges that Complainant "notified Respondent of its Shipping Act claims alleged herein, and thereafter Complainant and Respondent entered into an agreement tolling any statutes of limitation, statutes of repose, notice or other time-related defenses or limitations with respect to such claims from June 28, 2024 through and including April 3, 2026." (Compl., at ¶ 51).
7. Count I alleges a violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 due to the "assessment of demurrage and detention Charges on Complainant's cargo" that "are inconsistent with or do not comply with all applicable provisions and regulations" of the Shipping Act, including 46 U.S.C. § 41104(a)(14). (Compl., at ¶¶ 52-54).
8. Count II alleges that Respondent's assessment of demurrage and detention charges constituted "unreasonable refusals to deal or negotiate with Complainant in violation" of 46 U.S.C. § 41104(a)(10). (Compl., at ¶¶ 55-56).

9. The Complaint also alleges that Respondent's assessment of the demurrage and detention charges, or a substantial majority thereof, and Respondent's alleged acts or omissions that led to the assessment of those charges also constitute a violation of 46 U.S.C. § 41104(a)(14)'s prohibition of assessing any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations. (Compl., at ¶ 18; *see also* Compl., at ¶ 54).
10. Complainant seeks \$1,162,000 in reparations. (Compl., at ¶¶ 59-60).

II. MOTION TO DISMISS STANDARD

Although the Commission's Rules of Practice and Procedure ("Commission's Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. (46 C.F.R. § 502.12). Federal Rule of Civil Procedure 12(b) permits a party to raise, by motion, the defense of failure to state a claim (12(b)(6)). (FED. R. CIV. P. 12; *see also Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008, at *11 (FMC Aug. 1, 2011)).

"In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it." (*Cornell v. Princess Cruise Lines, Ltd.*, Dkt. No. 13-02, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014) (citation omitted)). Thus:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 678] (2009).

(*Mitsui*, 2011 WL 7144008, at *12). As the Commission has explained:

Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff's claim for relief. Indeed, while a complaint need not plead detailed factual allegations, the factual allegations it does include must be enough to raise a right to relief above the speculative level and to nudge . . . claims across the line from conceivable to plausible. This plausibility standard is not akin to a probability requirement, but it asks for more than a sheer possibility that a defendant has acted unlawfully. . . . Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint.

Moreover, the Commission need not accept legal conclusions cast in the form of factual allegations.

(*Cornell*, 2014 WL 5316340, at *6-7 (internal quotation marks and citations omitted); *see also Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 2015 WL 9426189, at *12 (FMC Dec. 18, 2015) (“[m]ere labels and conclusions or a ‘formulaic recitation of the elements of a cause of action’ will not suffice, nor will ‘naked assertions devoid of further factual enhancement.’”)).

The Commission has clearly indicated that federal case law interpreting Rule 12(b)(6), including *Twombly* and *Iqbal*, continues to apply to motions to dismiss in Commission proceedings. (*Maher*, 2015 WL 9426189, at *6; *Cornell*, 2014 WL 5316340, at *6; *Mitsui*, 2011 WL 7144008, at *12).

III. ANALYSIS

A. Respondent’s Argument Regarding Count II, Alleged Violation of § 41104(a)(10)

Section 41104(a)(10) of the Shipping Act provides that a common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not “unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.” (46 U.S.C. § 41104(a)(10)).

This provision of the Shipping Act was amended by the Ocean Shipping Reform Act of 2022 (“OSRA 22”), which became effective on June 16, 2022, “by adding ‘, including with respect to vessel space accommodations provided by an ocean common carrier’ after ‘negotiate’[.]” (*See* Ocean Shipping Reform Act of 2022, Pub. L 117-146, 136 Stat. 1272, 1274, § 7(a)(1)(D)).

Respondent first argues that 46 C.F.R. § 542.1 mandates various elements that must be alleged to sustain a claim under Section 41104(a)(10), including an allegation that the respondent refused to deal or negotiate with respect to vessel space accommodations, and that such refusal was unreasonable. (MTD, at 5 (*citing* 46 C.F.R. § 542.1(f))). Respondent argues that the Complaint does not set forth any factual allegations regarding vessel space accommodations or unreasonableness. (MTD, at 6).

I do not find this point to be persuasive. The Commission promulgated the rule Respondent relies on, 46 C.F.R. § 542.1, on July 23, 2024. (*See Definition of Unreasonable Refusal To Deal or Negotiate With Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier*, 89 FED. REG. 59648). Therefore, it is questionable whether this rule applies retroactively to claims allegedly arising in 2021-2022, and it is doubtful that this regulation applies at all to claims that accrued before the “vessel space accommodation” language was added to Section 41104(a)(10) on June 16, 2022, by OSRA 22.

Regardless, the rule Respondent relies on, 46 C.F.R. § 542.1(f), sets forth elements necessary to establish a successful private party claim under Section 41104(a)(10) “with respect to refusals of vessel space accommodations provided by an ocean common carrier.” (46 C.F.R. § 542.1(f)). This rule is limited to one type of alleged unreasonable refusal to deal or negotiate,

namely vessel space accommodations. Indeed, Section 41104(a)(10) does not prohibit a carrier from unreasonably refusing to deal or negotiate only with respect to vessel space accommodations. Instead, OSRA 22 added the phrase “including with respect to vessel space accommodations provided by an ocean common carrier,” thus clarifying that the general prohibition against an ocean common carrier’s unreasonable refusal to deal or negotiate applies also to vessel space accommodations. Thus, 46 C.F.R. § 542.1 is properly understood as applying only to a subset of potential claims arising under Section 41104(a)(10).

Respondent argues that even before OSRA 22, Section 41104(a)(10) was understood to require “a showing that the common carrier imposed an unreasonable impediment to a shipper’s access to common carriage.” (MTD, at 5-6 (citing *MSRF, Inc. v. HMM Co Ltd.*, Dkt. No. 22-20, 7 F.M.C.2d 85, 2023 WL 8242695 (ALJ Nov. 22, 2023))). In *MSRF*, the ALJ pointed out that even before OSRA 22, “shippers securing transportation of their cargo has been the focus of Section 41104(a)(10).” (*MSRF*, 7 F.M.C.2d at 113).

I do not find this argument to be persuasive because, historically, the statutory “refuse to negotiate” language was applied more broadly than carrier space accommodation matters. In 1988, the Commission issued its final rule entitled *Interpretations and Statements of Policy* (the “*Rulemaking*”) 53 FED. REG. 43696. Apparently, there was concern that ocean carriers, citing antitrust concerns, were refusing to negotiate shipping contracts with shipping associations despite the antitrust exemption in the Shipping Act of 1984. (*Rulemaking*, 53 FED. REG. 43969, 43969). In response, the Commission promulgated a rule, codified at 46 C.F.R. § 571.1, “to discourage violations” of Section 10(b)(13) of the Shipping Act of 1984. In turn, Section 10(b)(3) provided that: “No common carrier, either alone or in conjunction with any other person, directly or indirectly, may – (13) refuse to negotiate with a shippers’ association.” That rule later became the present 46 C.F.R. § 545.1. (*See Miscellaneous Amendments to Rules of Practice and Procedure*, 64 FED. REG. 7804, 7813; *Regulatory Amendments Implementing the Frank LoBiondo Coast Guard Authorization Act of 2018*, 85 FED. REG. 9676, 9684).

Beyond the rule that is now 46 C.F.R. § 545.1, the statutory language regarding an “unreasonable refusal to deal,” which also applies to marine terminal operators, was used in other factual settings that did not deal with carrier space accommodations. For example, in *Seacon Terminals, Inc. v. Port of Seattle*, the Commission rejected the complainant’s claim that the port should have entertained the complainant’s bid to lease space where the port previously tried to secure a commitment from complainant unsuccessfully, but then began to negotiate with a third party. (*Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. 886, 899 (FMC Apr. 14, 1993)); *see also New Orleans Stevedoring Co. v. Bd. Of Comm’rs of the Port of New Orleans*, 29 S.R.R. 1066, 1070 (FMC 2002) (“Rather, the Board’s determination not to lease the complex was a reasonable determination in view of the pending construction project.”).

For these reasons, I am not persuaded that Section 41104(a)(10), either before OSRA 22 or after, is limited only to claims involving vessel space accommodations.¹

¹ In its Reply, Respondent argues for the first time that the regulatory structure of the Shipping Act disallows a claim under Section 41104(a)(10) for failure to negotiate demurrage or

I do, however, find persuasive Respondent's point that, under the *Twombly* and *Iqbal* plausibility standard, Complainant fails to state a claim under Section 41104(a)(10). As noted, either before or after OSRA 22, Section 41104(a)(10) prohibits a carrier from unreasonably refusing to deal or negotiate. It appears that the following are all of the factual allegations regarding Respondent's unreasonable refusal to deal or negotiate:

- "Despite these failures, carriers refused to provide relief. While partners reached out to industry bodies for assistance, they reported that 'Hapag Lloyd has ignored our request to this point. I don't expect any help.'" (Compl., at ¶ 35).
- "Respondent's practices and actions related to the assessment of the unjust and unreasonable Charges, and the alleged acts or omissions of Respondent that led to the assessment of the unjust and unreasonable Charges, also constitutes unreasonable refusals to deal or negotiate with Complainant in violation of 46 U.S.C. Section 41104(a)(10)." (Compl., at ¶ 56).

In other words, the Complaint points to one vague statement, apparently by a third party, about Respondent ignoring requests for assistance, and a general assertion that Respondent's alleged acts constitute a refusal to deal or negotiate. Complainant's allegations constitute the classic "labels, conclusions, or a recitation of the elements" that do not satisfy the *Iqbal-Twombly* pleading standard. Therefore, I find that Count II has been pleaded insufficiently.

The Commission has noted that, in general, federal courts permit a claimant to amend a claim at least once where a more carefully drafted complaint may state a claim. (*Samsung Electronics Am., Inc. v. Orient Overseas Container Line, Ltd.*, Dkt. No. 24-17, 2025 WL 2207363, at *11-12 (FMC Jul. 30, 2025)). Because Count II of the Complaint lacks sufficient detail to set forth a plausible claim, I will permit Complainant an opportunity to file an amended complaint and replead Count II.

B. Respondent's Argument Regarding the Limitations Period

Respondent raises a limitations period defense. Respondent's argument proceeds in two parts. First, relying on Section 41301(a) of the Shipping Act, Respondent argues that claims for reparations must be filed within three years of when the claim accrues, and that Complainant generally alleges that the charges were assessed and paid between 2021 and 2022. (MTD, at 7-9). Second, although the Complaint refers to a tolling agreement that tolled the statute of limitations from June 28, 2024, through April 3, 2026, any claim that accrued before June 27, 2021, is not helped by the tolling agreement. (MTD, at 9-10). Respondent also asserts that the Complaint was clearly drafted broadly in order to avoid the operation of the statute of limitations, and thus the entire Complaint should be dismissed. (MTD, at 10).

detention charges. (Reply, at 3-4). Arguments raised for the first time in a reply are generally not considered. (*See Marine Trans. Logistics, Inc. v. CMA CGM S.A.*, Dkt. No. 22-23, 2024 WL 4678463, at *2 (ALJ Oct. 30, 2024) (administratively final Jun. 27, 2025)).

Section 41301(a) of the Shipping Act provides, in relevant part, that if “the complaint is filed within three years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.” (46 U.S.C. § 41301(a)).

Rule 8(c) of the Federal Rules of Civil Procedure, made applicable through Commission’s Rules 12, classifies statute of limitations as an affirmative defense. (FED. R. CIV. P 8(c); 46 C.F.R. § 502.12). Because statute of limitations is an affirmative defense, the complaint need not negate it. (*Maier Terminals*, 2015 WL 9426189, at *37). While a respondent may move to dismiss, if the time bar is not apparent from the face of the complaint, then the motion should be denied. (*Carlstar Group LLC v. UTI, United States, Inc.*, Dkt. No. 17-08, 2018 WL 1062398, at *18 (ALJ Feb. 23, 2018) (case settled Oct. 17, 2018)). In *Maier Terminals*, the Commission denied a motion to dismiss noting that the complaint does not contain any dates relevant to the claims, and the facts capable of official notice did not clearly show that the claims were untimely. (*Maier Terminals*, 2015 WL 9426189, at *37-38).

The motion to dismiss based on limitations grounds is **DENIED**. Here, the Complaint alleges that the “issues” that led to the relevant demurrage and detention charges began to surface in “mid-2021.” (Compl., at ¶ 33). The Complaint also alleges that there was a tolling agreement in place from June 28, 2024, through April 3, 2026. (Compl., at ¶ 51). As a statute of limitations is an affirmative defense, a motion to dismiss should be denied unless it is apparent from the face of the complaint that the claims are untimely. (*Carlstar*, 2018 WL 1062398, at *18; *see also Maier Terminals*, 2015 WL, 9426189, at *37). As it is not clear from the face of the complaint that the claims are untimely, the motion to dismiss based on the statute of limitations is properly denied.

Respondent argues that where a complainant relies on a tolling agreement in its own complaint, “no further showing by Respondent is needed to establish its applicability; the burden falls squarely on Complainant to demonstrate timeliness.” (MTD, at 9). For support, Respondent cites a brief from another case before the Commission, as well as a factually distinguishable case that involved a discussion of whether class action tolling was applicable. (MTD, at 9 (citations omitted)). Neither citation is persuasive. To the contrary, federal court decisions hold that motions to dismiss are properly denied when questions about the applicability of tolling agreements arise. For example, in one case, the district court rejected a motion to dismiss where the defendant argued that the complaint lacked dates sufficient to show that the tolling agreement was applicable, and stated that the burden is on the defendant to show that a claim is time-barred. (*Twin Village Mgmt., LLC v. Fed. Ins. Co.*, Case No. 1:22-CV-01111-ADA, 2023 WL 4093404, at *9 (W.D. Tex. Jun. 19, 2023); *see also Soo Line Railroad Co. v. Pro-Se Servs., Inc.*, Case No. 24-CV-331, 2024 WL 2723390, at *2 (E.D. Wisc. May 28, 2024) (stating that a plaintiff may defeat a motion to dismiss by submitting a tolling agreement in response to the motion); *Campbell v. Easterly Capital, LLC*, Civil Action No. 23-cv-02829-NYW-STV, 2024 WL 1911219, at *3-4 (D. Colo. May 1, 2024) (stating that a defense that a party breached a tolling agreement is a factual issue not appropriate for a motion to dismiss)).

For these reasons, Respondent’s argument that the Complaint should be dismissed on statute of limitations grounds is not persuasive.

C. Respondent’s Arguments Regarding Section 41102(c)

Relying on the required elements of a Section 41102(c) claim, Respondent argues that Complainant's claim under Section 41102(c) fails.

Section 41102(c) of the Shipping Act provides that an ocean common carrier "may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling storing or delivering property." (46 U.S.C. § 41102(c)). By regulation, the Commission identified the following five elements of a claim under Section 41102(c):

(a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice proximately caused the claimed loss.

(46 C.F.R. § 545.4).

Respondent's first argument is that the Complaint does not allege a "practice," but instead contains several alleged one-off stories or events over the course of two years. (MTD, at 11-12). While I acknowledge that the Complaint contains several alleged examples of congestion (*see, e.g.,* Compl., at ¶¶ 21-22, 33-38), I do not find this argument to be persuasive. The third paragraph of the Complaint sets forth the relevant practice. That paragraph alleges that during 2021 and 2022, "at least a substantial majority of the demurrage and detention charges assessed by Respondent and paid by Complainant" were for periods during which "Complainant's ability to pick up containers at the ports, or return empty containers promptly, was constrained due to circumstances outside the control of Complainant, such as port congestion and shortage of equipment." (Compl., at ¶ 3).

In any event, the "practice" element of a Section 41102(c) claim may be satisfied where a demurrage or detention charge is imposed pursuant to a tariff or contract under circumstances that make the charge unreasonable. For example, in *TCW, Inc. v. Evergreen Shipping Agency*, Dkt. No. 1966(I), 5 F.M.C.2d 192, 199-200, 2022 WL 18068977 (FMC Dec. 29, 2022) (*vacated and remanded on other grounds sub nom. Evergreen Shipping Agency v. Fed. Mar. Comm'n*, 106 F.4th 1113 (D.C. Cir. 2024)), the "practice" element of a Section 41102(c) claim was met where an approximately \$500 charge was imposed pursuant to a contract. (*See also Simple Forwarding, Inc. v. China United Lines Ltd.*, Dkt. No. 2010(F) (ALJ Feb. 6, 2025)² (notice not to review, March 11, 2025)).

Respondent advances two other arguments for why the Complaint fails, although, as discussed, I will treat these two arguments together as a single argument. First, Respondent argues that the pleading rules require a "clear and concise factual statement sufficient to inform each respondent with reasonable definiteness of the acts or practices alleged to be in violation of the law," (*see* 46 C.F.R. § 502.62(a)(3)(iii)), but the Complaint vaguely alleges that Complainant

² This decision is available at:
[https://www2.fmc.gov/readingroom/docs/2010\(F\)/\(29\)%202010\(F\)%20Initial%20Decision.pdf/](https://www2.fmc.gov/readingroom/docs/2010(F)/(29)%202010(F)%20Initial%20Decision.pdf/).

paid over a million dollars in unspecified demurrage and detention charges that were allegedly unreasonable. Accordingly, “Respondent is left without any meaningful ability to assess the scope of the claims it must defend, evaluate its potential exposure, or prepare an adequate response.” (MTD, at 12-13). Second, and relatedly, Respondent asserts that the reasonableness of demurrage and detention charges is determined on a container-by-container basis. Therefore, Respondent asserts that the Complaint should have a list of the containers at issue, but it does not. (MTD, at 13-14). These two arguments are similar in that Respondent essentially asserts that the Complaint needs more detail, specifically an identification of the particular charges at issue.

I appreciate Respondent’s argument, but I do not find it to be persuasive. The Complaint alleges that Complainant was charged demurrage and detention in 2021 and 2022, and that most of the demurrage and detention charges were unreasonable. Although that may be many charges, I find that the Complaint gives Respondent notice of what is at issue generally. As a more practical matter, in other demurrage and detention cases involving numerous claims, the individual containers at issue were generally identified by the parties before the litigation or during discovery. (*See, e.g., Access One Transport, LLC v. COSCO Shipping Lines Ltd.* Dkt. No. 24-13, 2025 WL 1675843, at *6-7 (ALJ Jun. 6, 2025) (notice not to review Jul. 8, 2025) (noting that a number of claims were resolved prior to and during the litigation)). As noted, the Complaint alleges that a tolling agreement exists. (Compl., at ¶ 51). Accepting that allegation as true, that allegation suggests that the parties have been in communication about the charges at issue.

Nevertheless, Complainant suggests amending its complaint to incorporate a list of charges at issue, which it says it previously provided to Respondent, and which is attached to its opposition to the MTD. (MTD Opp., at 14). As I am allowing Complainant the opportunity to amend its pleading, Complainant may add the list of charges to its amended complaint.

D. Respondent’s Argument Regarding Section 41104(a)(14)

In addition to alleging that Respondent violation Sections 41102(c) and 41104(a)(10), the Complaint in three places asserts that Respondent also violated Section 41104(a)(14). The first is in paragraph 18 of the Complaint, which alleges that Respondent’s assessment of charges, and Respondent’s acts or omissions that led to the assessment of charges, constitutes a violation of Section 41104(a)(14)’s “prohibition on assessing any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations.” (Compl., at ¶ 18). The second is paragraph 54, where the Complaint alleges that Respondent’s “practices and actions related to the assessment” of demurrage and detention are inconsistent with or do not comply with all applicable provisions and regulations, including Section 41102(c), in violation of Section 41104(a)(14). The third reference is in the second paragraph in the Prayer for Relief, which largely reiterates the assertion in paragraph 54. (*See* Compl., Prayer for Relief, ¶ 2; *see also* Compl., at ¶ 54).

In the MTD, Respondent argues that to the extent the Complaint ties the Section 41104(a)(14) claim to the Section 41104(a)(10) claim, they should both be dismissed for the same reasons. (*See* MTD, at 7; *see also* Compl., at ¶ 18). Later in the MTD, Respondent argues that because the Section 41104(a)(14) claim is expressly premised on the existence of a valid

claim under Section 41102(c), the Section 41104(a)(14) should be dismissed for the same reasons as the Section 41102(c) claim. (*See* MTD, at 14; *see also* Compl., at ¶ 54).

Complainant does not directly address Respondent's arguments. Instead, Complainant states that its Complaint provides sufficient information to put Respondent on notice of its claims, including "to the extent applicable," its Section 41104(a)(14) claim. (MTD Opp., at 1).

Section 41104(a)(14) provides that a common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not "assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations)[.]" This provision was added to the Shipping Act by OSRA 22. (*See* Ocean Shipping Reform Act of 2022, Pub. L 117-146, 136 Stat. 1272, 1274, § 7(a)(1)(G)).

As noted, a complaint must allege a sufficient factual basis that, if accepted as true, sets forth a plausible basis for relief. (*Mitsui*, 2011 WL 7144008, at *12). Here, Section 41104(a)(14) expressly cross-references Section 41102(c), thus conduct that would violate the latter could also violate the former.

Having said as much, for the sake of clarity, if Complainant wishes to pursue a claim under Section 41104(a)(14), it should clearly identify such a claim, and the basis for it. As pointed out by Respondent, the Complaint currently appears to tie the Section 41104(a)(14) claim to both the Section 41104(a)(10) claim, as well as the Section 41102(c) claim. Moreover, Complainant's opposition to the MTD offers no additional clarity about the basis for the Section 41104(a)(14) claim. Accordingly, Complainant should amend its Section 41104(a)(14) claim if Complainant wishes to pursue such claim.

IV. CONCLUSION

For the reasons discussed above, it is **HEREBY ORDERED** that Respondent's MTD is **DENIED IN PART** regarding the Statute of Limitations argument. It is

FURTHER ORDERED that Complainant file an Amended Complaint no later than **June 12, 2026**. It is

FURTHER ORDERED that if Complainant files an Amended Complaint, Respondent may answer or otherwise respond no later than **June 26, 2026**. It is

FURTHER ORDERED that my ruling regarding the remainder of the MTD is deferred. If an Amended Complaint is filed, the remainder of the MTD will be denied as moot.

Richard C. Ambrow Jr -S

Richard Ambrow
Administrative Law Judge